

Signal vs Noise

Opening Hour Decision Framework

Dermot Greally | dermotgreally.github.io

Applied Research · 2026

Overview

A structured analysis of how the first 60 minutes of an equity session establishes session character, generates the highest volume, and produces both the most compelling traps and the highest-conviction setups of the day. Three distinct opening scenarios are mapped — the opening spike trap, the flush-to-zone reversal, and the trend day — each requiring a different decision response. A pre-10:00 session classification framework determines whether to engage, stand down, or adjust target parameters accordingly.

The core insight is that the opening hour produces the most visually compelling but technically invalid signals of the session — and that disciplined signal filtering, not pattern recognition alone, is what separates systematic decisions from reactive ones.

1. Pre-Market RSI — The First Warning Signal

Before placing any trade, check the RSI level at the moment the regular session opens at 09:30. Pre-market price action feeds into the RSI calculation and sets the opening condition.

Opening RSI	Condition	Action
Above 70	Overbought at open — opening spike likely a trap	Do not chase opening green candles. Observe only.
40 — 70	Neutral opening — session character unclear	Observe first 5-10 minutes before forming a view
Below 40	Oversold at open — watch for immediate bounce setup	Check VWAP zone and BEP immediately

Real example: one session opened with RSI above 80 from pre-market. The opening spike was immediately distributed by institutional sellers. Anyone buying the opening green candles was trapped within minutes. The pre-market RSI was the warning that was ignored.

2. The Opening Drive — Three Scenarios

The first 3-5 candles of the session establish the opening drive. This drive sets the session character and determines how any decision framework applies for the rest of the day.

Scenario 1 — Opening Spike Trap (most common)

Price opens with aggressive buying, spikes toward or beyond the +2SD VWAP band, then reverses sharply on high volume. RSI is already overbought at or before the spike high. This is institutional distribution into retail opening buyers.

Rule: Never chase the opening spike. If RSI is above 70 at the open and price is approaching the upper VWAP bands — stay flat. The spike creates the selling opportunity, not the buying opportunity.

Scenario 2 — Opening Flush to the Zone (highest conviction setup)

Price opens and immediately sells off into the -1SD to -2SD VWAP zone on high volume. RSI drops to oversold in the first 10-30 minutes. This is the most powerful reversal setup of the session — the opening flush combined with zone entry and RSI oversold produces the largest average bounces in the dataset.

Rule: If price flushes to the zone within the first 30 minutes with RSI below 40, this is the highest priority setup of the session. Wait for the bullish engulfing confirmation and second green candle — then execute with full conviction.

Scenario 3 — Trend Day Open (no setup)

Price opens and continues in one direction throughout the opening hour without reaching the VWAP zone. RSI stays in the 50-75 range. The bounce framework produces no valid entries because price never reaches the entry zone.

Rule: If price has not touched the -1SD band by 10:30 and RSI has not dropped below 40, classify as a trend day and stand down. Do not force entries.

3. The No-Trade Window — First 5 Minutes

The opening 5 minutes of the session (09:30 — 09:35) are excluded from trading entirely. During this window:

- Volume is at its highest — institutional orders executing
- Spreads are widest — execution quality is poorest
- Price discovery is incomplete — candles are unreliable signals
- VWAP bands have not yet established meaningful levels

Any signal appearing in the first five minutes is disqualified regardless of other conditions. Observe and classify — do not trade.

4. Opening Hour Volume Interpretation

Opening hour volume is structurally different from mid-session volume. The interpretation rules change:

Volume Pattern	Opening Hour Meaning	Action
Extreme spike 09:30-09:35	Normal institutional order execution — not a signal	Observe only — no trade in first 5 minutes
High red volume on opening decline	Institutional selling into the open — watch for exhaustion	Wait for volume spike then decline before looking for entry
Declining volume into zone low	Sellers losing conviction — exhaustion developing	Constructive — watch for entry trigger
Dominant single red spike at zone low	Capitulation — final flush of sellers	Highest conviction setup — entry on next confirming candle

5. Session Classification by 10:00

By 10:00 — 30 minutes into the session — classify the day into one of three types. This classification sets expectations for the rest of the session.

Session Type	Characteristics	Expected Setup	Setup Frequency
--------------	-----------------	----------------	-----------------

		Quality	
Bounce Day	Price reaches zone. RSI drops below 40. Opening flush or mid-morning decline into band.	Highest. Opening flush setups produce the largest moves.	1-3 valid setups across session
Trend Day	Price stays consistently above or below VWAP. Zone never reached. RSI holds 50-75.	No setup available	0 — stand down entirely
Choppy Day	Price oscillates around VWAP. Multiple brief zone touches. RSI noisy.	Lower conviction. Exit earlier.	Multiple setups but be selective

6. The Opening Hour Trap — What Not to Trade

The opening hour produces the most visually compelling but technically invalid setups. The following patterns appear frequently and must be ignored:

Bullish engulfing mid-decline (09:40-09:50): A green candle engulfing a red candle during an ongoing opening sell-off. RSI is declining but not yet at the oversold threshold. Price is not in the zone. This is a dead cat bounce within the opening flush — not a genuine reversal.

Engulfing at VWAP (not in zone): Price bouncing off VWAP itself rather than the -1SD to -2SD zone. VWAP is the target, not the entry point.

First candle engulfing: Any signal forming in the first five minutes regardless of RSI or zone. Automatic disqualification. No exceptions.

7. Opening Hour Decision Framework

At 09:30, run through this sequence before any action:

1. Note pre-market RSI — above 70 signals opening trap risk
2. Observe the first five candles — do not trade
3. By 09:35 — classify the opening drive (spike trap, flush to zone, or trend)
4. By 10:00 — classify the session type (bounce, trend, or choppy)
5. If bounce day confirmed — apply the three-criteria entry framework
6. If trend day confirmed — stand down entirely